



1%

The1% Academy

WORKBOOK · EDITION 1

FOUNDATIONS · BEGINNER

Candlestick Masterclass

The1% Workbook

Candle anatomy, single and multi-candle patterns, and why context beats pattern names. Every lesson, chart and practice task from the course, with space for your own notes.

6

LESSONS

7

CHARTS

10

QUIZ QUESTIONS

~4h

STUDY TIME

What you will learn

- ✓ Read any candle as a short story of the auction: who opened, who pushed, who won the close.
- ✓ Recognise the core multi-candle signals: engulfing, inside and outside bars, morning and evening stars.
- ✓ Recognise the core single-candle signals: pin bars, hammers, shooting stars, dojis and marubozu.
- ✓ Grade a candle signal by its location, so you only act on patterns that appear at a level with the trend.

Contents

ANATOMY

- | | | |
|----|--|-------|
| 01 | Reading a candle: body, wick and range | 8 min |
|----|--|-------|

SINGLE-CANDLE SIGNALS

- | | | |
|----|--------------------------------------|-------|
| 02 | Pin bars, hammers and shooting stars | 9 min |
|----|--------------------------------------|-------|

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|----|---|-------|
| 03 | Dojis and marubozu: indecision and conviction | 8 min |
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MULTI-CANDLE SIGNALS

- | | | |
|----|------------------------------------|--------|
| 04 | Engulfing, inside and outside bars | 10 min |
|----|------------------------------------|--------|

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|----|---------------------------|-------|
| 05 | Morning and evening stars | 8 min |
|----|---------------------------|-------|

CONTEXT

- | | | |
|----|---------------------------------------|-------|
| 06 | Context first: The1% candle checklist | 9 min |
|----|---------------------------------------|-------|

FINAL

- | | | |
|---|---------------------------|--------------|
| Q | Final quiz and answer key | 10 questions |
|---|---------------------------|--------------|

How to use this workbook

- Read one lesson at a time, then do its practice task on a real chart before moving on.
- Use the notes space at the end of each lesson to write what you saw in the market, not what the page says.
- Take the final quiz without looking back. Then check the answer key and revisit any lesson you missed.
- Take the same quiz online in the The1% Academy to earn your certificate.

Reading a candle: body, wick and range

Every candle records four prices. Together they tell you who controlled the period and who was rejected.

Four prices, one picture

A candle shows the open, high, low and close for one period. The body is the distance between the open and the close. The wicks (also called shadows) show how far price travelled beyond the body before it was pushed back.

A green (bullish) candle closed above its open. A red (bearish) candle closed below its open. The colour tells you the result of the period; the wicks tell you what happened along the way.

Anatomy of bullish and bearish candles

DIAGRAM



The body is the result. The wick is the rejection. A long wick shows that one side pushed and was overpowered before the close.

What the shape tells you

- Large body, small wicks: one side was in control from open to close.
- Small body, long wicks: both sides fought and neither won clearly.
- Long lower wick: sellers pushed down and buyers rejected the low.
- Long upper wick: buyers pushed up and sellers rejected the high.
- Range (high minus low) compared with recent candles tells you whether the period was calm or violent.

A candle is a summary of one period, not a prediction. It only becomes a signal when it appears in the right place.

KEY TAKEAWAYS

- Body = who won the period. Wick = who was rejected.
- Compare every candle with its neighbours; size is relative.
- Timeframe matters: a daily candle holds far more information than a 1-minute candle.

COMMON MISTAKES

- Reading a candle before it has closed.
- Judging a candle in isolation, without the ones before it.
- Treating colour as the whole story and ignoring the wicks.

PSYCHOLOGY CHECK

Waiting for the close is the first discipline every trader learns. A candle that looks like a hammer at minute 40 can be a full red bar at minute 60.

PRACTICE TASK

Open a daily chart and describe the last ten candles in one sentence each: who controlled the period and who was rejected.

Pin bars, hammers and shooting stars

A pin bar has a long wick and a small body. It shows a strong rejection of one price area, and it is the most useful single candle to know.

The rules of a pin bar

- The wick is at least two thirds of the total range.
- The body sits in the top or bottom third of the range.
- The wick sticks out beyond the recent candles: it tested a price nobody else reached.
- A bullish pin (hammer) has the long wick below. A bearish pin (shooting star) has the long wick above.

A hammer at a demand zone

The pin bar is strongest when its wick pierces a level you had already marked, such as a demand zone or a swing low, and the body closes back above it. The wick shows that orders at the level were real.

Hammer rejects a demand zone, then price rallies

WORKED EXAMPLE



The wick tested the zone and was rejected within one candle. The stop goes below the wick, where the idea is proved wrong.

How to trade it

Aggressive entry: at the close of the pin bar. Conservative entry: a limit order at the 50% level of the pin's range, which gives a better price and a smaller stop but may not fill. In both cases the stop goes a few pips beyond the tip of the wick.

A pin bar in the middle of nowhere is just a candle with a long wick. Location is what turns it into a signal.

KEY TAKEAWAYS

- Wick at least two thirds of the range, body at one end.
- Best when the wick pierces a pre-marked level and closes back inside.
- Stop beyond the wick tip; entry at the close or at the 50% level.

COMMON MISTAKES

- Trading every long wick, including those in the middle of a range.
- Placing the stop inside the wick, where normal noise will hit it.
- Trading a pin against a strong higher-timeframe trend without any other reason.

PSYCHOLOGY CHECK

The wick is fear and greed made visible: one side panicked in, the other side absorbed it. You want to be on the side that absorbed it.

PRACTICE TASK

Find ten pin bars on a 4H chart. Mark which ones formed at a level you could have drawn in advance. Compare what happened next.

Dojis and marubozu: indecision and conviction

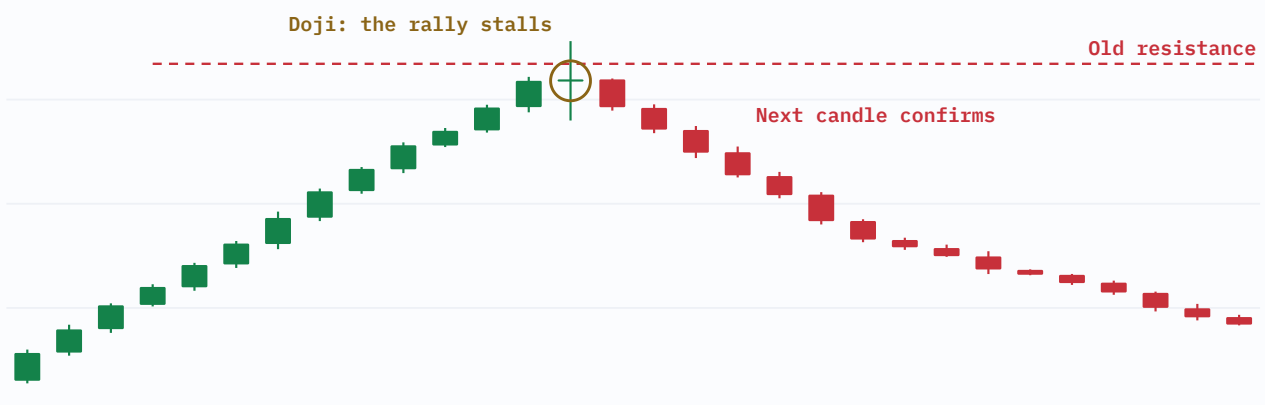
A doji shows a balanced auction. A marubozu shows one side in total control. Both mean the most when they break a pattern of the candles before them.

The doji

A doji opens and closes at nearly the same price. Buyers and sellers ended the period level. After a strong trend, a doji means the side that was winning has stopped winning. That is a warning, not a reversal signal on its own.

A doji at resistance after a strong rally

DIAGRAM



The doji alone only says buying pressure has paused. The bearish candle that follows is what confirms sellers have taken over.

The marubozu

A marubozu has a full body and almost no wicks: it opened at one extreme and closed at the other. It is the footprint of conviction. A bullish marubozu leaving a base is exactly the kind of departure that creates a strong demand zone.

- Marubozu breaking a level: the break is more likely to hold.
- Marubozu leaving a base: the base is a high-grade zone.
- Marubozu into a level, after a long trend: often the final push before exhaustion. Check the next candle.

KEY TAKEAWAYS

- Doji = balance. After a trend, it warns that momentum has stopped.
- Marubozu = conviction. It confirms breaks and grades zones.
- Always wait for the next candle before acting on a doji.

COMMON MISTAKES

- Selling every doji in an uptrend.
- Chasing a marubozu after it has already travelled far from any level.
- Ignoring that on low timeframes, dojis are common and mean little.

PSYCHOLOGY CHECK

Indecision on the chart often causes indecision in the trader. A doji is a reason to prepare your plan, not a reason to click.

PRACTICE TASK

Find five dojis after a strong trend on the daily chart. Record how often the next candle confirmed a reversal and how often the trend simply continued.

Engulfing, inside and outside bars

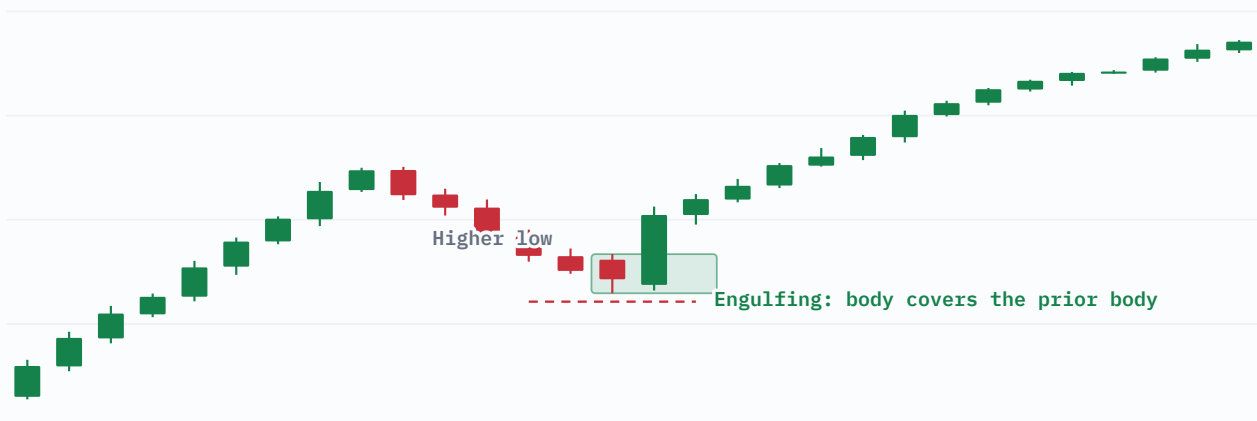
Two-candle patterns show a shift in control between one period and the next. The engulfing bar is the strongest; the inside bar is the quiet before a move.

The engulfing bar

A bullish engulfing bar opens at or below the previous close and closes above the previous open. Its body completely covers the body of the red candle before it. In one period, buyers erased everything sellers did in the last period and more.

Bullish engulfing at a higher low

WORKED EXAMPLE



The stop (dashed) goes below both candles. The engulfing bar formed at a higher low in an uptrend. Trend, location and signal all agree, which is when a candle pattern is worth trading.

Inside and outside bars

- Inside bar: its whole range sits inside the previous candle (the mother bar). It shows compression. Traders place orders just beyond the mother bar's high and low and let the market choose a side.
- Outside bar: its range covers the whole previous candle, high and low. If it also closes strongly, it behaves like an engulfing bar. If it closes in the middle, it shows volatility without direction.
- Inside bars with the trend, at a level, are the cleanest. Inside bars in the middle of a choppy range often break both ways.

Candle names come from shape. Their meaning comes from where they appear. An engulfing bar into resistance is far weaker than the same bar off support.

KEY TAKEAWAYS

- Engulfing = full transfer of control in one period.
- Inside bar = compression; trade the break of the mother bar.
- Outside bars need a strong close to mean anything.

COMMON MISTAKES

- Counting a pattern where only the wicks, not the bodies, are engulfed.
- Trading inside-bar breaks in a choppy range.
- Using a pattern's stop but ignoring the nearest opposing level as a target.

PSYCHOLOGY CHECK

An engulfing bar feels urgent. The urge to enter immediately is the same urge that makes traders chase. Check the level first, then enter.

PRACTICE TASK

Backtest 20 engulfing bars on one pair: 10 at a marked level and 10 in the middle of price. Record the result of each in R.

Morning and evening stars

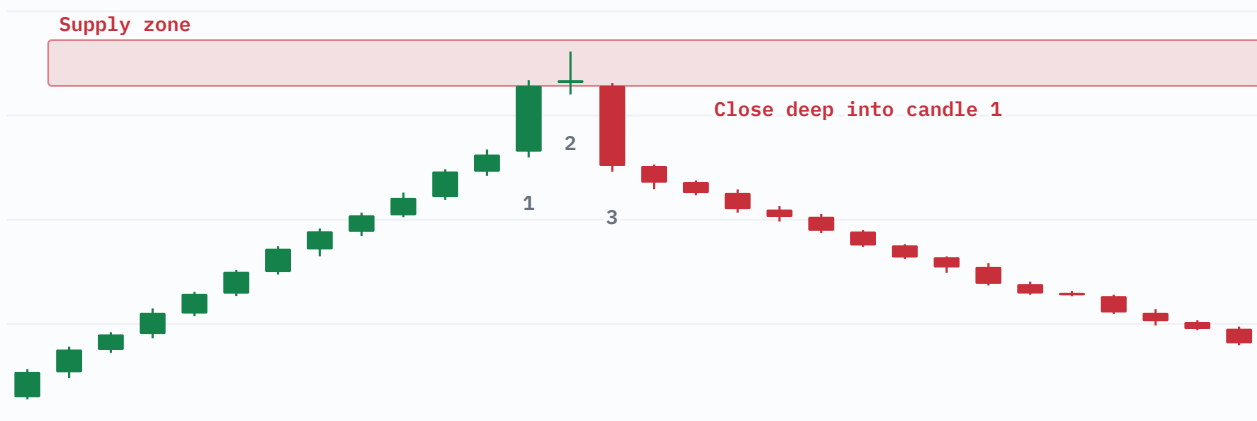
Three-candle reversals show the full turn: a strong move, a pause, then a strong move the other way.

The evening star

Candle one: a strong bullish candle continues the trend. Candle two: a small-bodied candle (often a doji) that shows buying has stalled. Candle three: a strong bearish candle that closes deep into the body of candle one. The morning star is the mirror image at a low.

Evening star at a supply zone

DIAGRAM



The third candle closes below the midpoint of the first. That is the confirmation: sellers have not just stopped the rally, they have reversed it.

What makes a strong star

- The pattern forms at a level you marked in advance.
- Candle three closes beyond the midpoint of candle one.
- The middle candle is small; the smaller it is, the clearer the pause.
- Volume or range expands on candle three.

KEY TAKEAWAYS

- Three candles: trend, pause, reversal.
- Candle three must close beyond the midpoint of candle one.
- Stop beyond the extreme of the middle candle.

COMMON MISTAKES

- Entering on candle two, before the reversal candle exists.
- Accepting a weak third candle that barely moves.
- Ignoring the higher-timeframe trend.

PSYCHOLOGY CHECK

Three-candle patterns reward patience twice: you wait for the level, then you wait for the third candle to close.

PRACTICE TASK

Find five morning or evening stars on the daily chart of a major index. For each, note whether it formed at a level and what the maximum move was in R.

Context first: The1% candle checklist

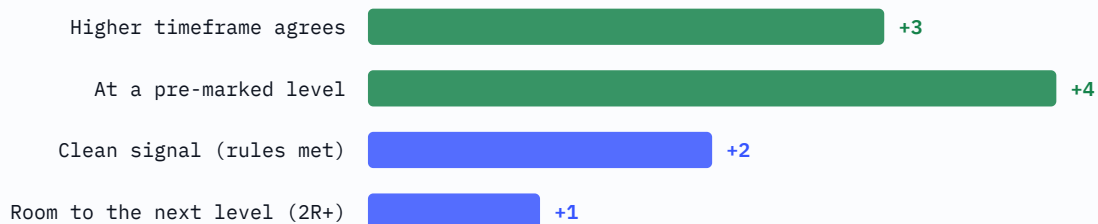
A candle pattern is the last piece of evidence, not the first. The checklist makes sure trend and location are right before the candle matters.

Location beats pattern

The same engulfing bar means very different things in different places. Off a fresh demand zone in an uptrend, it confirms a planned trade. In the middle of a range, it is noise. Into a supply zone, against the trend, it is often a trap.

How to weight a candle signal

THE1% SCORING



Score out of 10. Trade 7 and above. Notice that the pattern itself is only worth 2 points: context carries the rest.

The1% candle checklist

Before any candle-based entry

CHECKLIST

01

Trend: what is the higher timeframe doing?



02

Level: is price at a zone I marked earlier?



03

Close: has the signal candle closed?

04

Rules: does it meet every rule of the pattern?



05

Room: is there 2R to the next level?



06

Size: stop beyond the wick, risk 1%

KEY TAKEAWAYS

- Trend and location decide whether a pattern matters.
- The candle is confirmation of a plan, not the plan itself.
- Score every signal; skip anything below 7.

COMMON MISTAKES

- Learning 40 pattern names and none of the context.
- Scanning for patterns first and inventing a reason afterwards.
- Skipping the room-to-target check.

PSYCHOLOGY CHECK

A checklist protects you from your own excitement. When a pattern looks perfect, the checklist is what asks whether it is in the right place.

PRACTICE TASK

Print the checklist. For the next 20 candle signals you see, score each one before you look at what happened next.

Your notes

Write what you saw in the market while doing the practice tasks: the instrument, the date, what the lesson predicted and what actually happened.

Test yourself

10 questions. Aim for 80% or better, then take the quiz online for your certificate.

1. A candle's body shows...

- A. The highest price reached
- B. The distance between the open and the close
- C. The volume traded
- D. The spread

2. A long lower wick means...

- A. Sellers controlled the close
- B. Price was pushed down and buyers rejected the low
- C. The market was closed
- D. Nothing without volume

3. In a valid pin bar, the wick should be at least...

- A. One tenth of the range
- B. Half of the body
- C. Two thirds of the total range
- D. Equal to the previous candle

4. Where does the stop go on a hammer trade?

- A. Inside the wick
- B. A few pips beyond the tip of the wick
- C. At the open
- D. No stop is needed

5. A doji after a strong rally is best treated as...

- A. A sell signal on its own
- B. A warning that momentum has paused; wait for the next candle
- C. A buy signal
- D. Irrelevant

6. A bullish marubozu leaving a base suggests...

- A. A weak zone
- B. A strong departure and a high-grade zone
- C. A range
- D. A reversal down

7. A bullish engulfing bar must...

- A. Have a longer upper wick
- B. Have a body that covers the previous candle's body
- C. Be followed by a doji
- D. Form on Monday

8. An inside bar is traded by...

- A. Buying immediately
- B. Placing orders beyond the mother bar's high and low
- C. Selling the close
- D. Ignoring it

9. In an evening star, the third candle should...

- A. Be a doji
- B. Close beyond the midpoint of the first candle
- C. Be bullish
- D. Have no wicks

10. Using The1% checklist, what matters most?

- A. The pattern's name
- B. Trend and location
- C. Candle colour
- D. How many patterns you know

Answers and explanations

#	ANSWER	WHY	REVIEW
1	B. The distance between the open and the close	The body runs from open to close. Wicks show the extremes.	Lesson 1
2	B. Price was pushed down and buyers rejected the low	The wick shows a push that was overpowered before the close.	Lesson 1
3	C. Two thirds of the total range	A long wick relative to the whole range is the defining feature.	Lesson 2
4	B. A few pips beyond the tip of the wick	The tip of the wick is where the rejection is proved wrong.	Lesson 2
5	B. A warning that momentum has paused; wait for the next candle	A doji shows balance. Confirmation comes from the next candle.	Lesson 3
6	B. A strong departure and a high-grade zone	Full-body candles show conviction, which grades the base highly.	Lesson 3
7	B. Have a body that covers the previous candle's body	The body must fully engulf the prior body.	Lesson 4
8	B. Placing orders beyond the mother bar's high and low	The inside bar shows compression; the break of the mother bar gives direction.	Lesson 4
9	B. Close beyond the midpoint of the first candle	A deep close into candle one confirms the reversal.	Lesson 5
10	B. Trend and location	Context carries most of the score; the pattern confirms.	Lesson 6

Keep going

Finished the workbook? Enroll in the next masterclass in the The1% Academy, log every practice trade in the journal, and review your results in R every week.

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